

that it would turn out to be a race to the bottom if the stock exchanges decided to relax margin requirements to attract more members.

Given Shah's impressive track record in the commodities market, many anticipated he would rewrite the rules of the stock exchange game too. After all, he had managed to take on the powerful regulator SEBI and had emerged successful from the scrap. Shah's business sense, ambitiousness and political connections would see MCX-SX outstripping its rivals in the not-so-distant future, they thought.

For MCX-SX, the key to success lay in how soon it would be able to crack the liquidity code. More than anything else, it is the depth of the order book (liquidity, in market parlance) that is the deciding factor for a trader's or investor's choice of exchange to place his trades on. The more liquid or the more the number of buyers/sellers in a stock, the easier it is to trade large chunks of shares without impact on the price.

But creating the optimum level of liquidity is the toughest part. If an exchange is not able to do it quickly enough, it will be doomed to trail the market leader. Liquidity has the potential to perpetuate virtuous cycles as well as vicious ones. Once depth on a certain scale is achieved, it attracts more players, and this further improves the depth, which in turn attracts more players. On the downside, lack of liquidity prompts players to look elsewhere for better spreads, leading to even lower liquidity, which in turn deters even more players.

BSE's F&O segment is a classic example of how much liquidity matters. Having ceded the first-mover advantage to NSE in this space through its own blundering, BSE has not been able to catch up despite doing everything possible to attract trading members.

With MCX-SX flagging off operations, high-volume traders like me were in demand. The exchange wanted us to route a small part of our business through it. Competition in any industry is welcome, and though it would be a while before MCX-SX came anywhere close to matching the depth on NSE and BSE, quite a few traders agreed to help out the exchange. Of course, it was not purely out of charity. If MCX-SX grew in strength it would increase the bargaining powers of traders and brokers as they would now have a third exchange to choose from. Also, if the exchange did well in a couple of years' time, people like me who had supported it during its initial days could stake claim to a favour or two.